

AIPPI proposal for the public consultation for the evaluation of the Community Plant Variety Right Regulation 2100/94 ("Basic Regulation")

- The International Association for the Protection of Intellectual Property, known as AIPPI (*Association Internationale pour la Protection de la Propriété Intellectuelle*), is the world's leading non-profit association dedicated to the development and improvement of laws for the protection of intellectual property. It is a politically neutral, non-profit organization, with more than 8,000 members across 110 countries.
- AIPPI supports the initiative of the European Commission to evaluate EU legislation on plant variety rights.
- Plant variety right protection is the most relevant form of intellectual property protection for plant varieties. To foster innovation in the field of plant breeding, the Basic Regulation should provide for strong and balanced IP protection for all stakeholders that invest in plant innovations, irrespective of how new plant varieties are developed, either by way of classic breeding and/or the use of new breeding technologies. Furthermore, cost-efficient enforcement measures should be available for breeders to act against unauthorized use of protected plant material and harvested material.
- To ensure breeders can benefit from the full scope of protection provided for under UPOV 1991 and to make the system future-proof in view of technical progress in plant breeding, the Basic Regulation and related regulations should be improved and clarified, including without limitation:
 - **Interpretation of "unauthorized use of variety constituents" (Article 13(3), Basic Regulation).** The interpretation given by the CJEU in its judgement of 19 December 2019 in the Nadorcott case (C-176 / 18) on unauthorized use of variety constituents in the context of provisional protection has a negative impact on the plant breeding industry in practice, especially in the field of ornamentals and fruit species. The approach of the Court, that there is no unauthorized use of variety constituents if no authorization is required to propagate the material, limits the right to act against harvested material beyond the intentions of the UPOV legislator and has a chilling effect on the release of new plant varieties before the expiry of the provisional protection.
 - **Directly obtained products (Article 13 (4), Basic Regulation).** Article 13(4) of the Basic Regulation provides for the possibility of including in the implementing rules that the right of the CPVR holder extends to products obtained directly from material of the protected variety. Such implementing regulations have not yet been introduced.
 - **Trigger novelty (Article 10, Basic Regulation).** When a sale has taken place is interpreted differently under national laws. In the AC General Guidelines on Article 10 of Council Regulation (EC) 2100/94 on CPVR regarding the novelty requirement, it is provided that the date of the physical delivery for the purposes of commercial exploitation of variety constituents or of the harvested material will determine the first date of exploitation of the variety under Article 10 of the Basic Regulation. This should be clarified in the Basic Regulation.
 - **Trigger exhaustion (Article 16 Basic Regulation).** The wording of the trigger for exhaustion in Article 16 Basic Regulation (*disposed of to others*) deviates from the wording used in Article 16 UPOV 1991 (*sold or otherwise marketed*). The trigger for exhaustion should be clarified.

- **Enforcement.** Holders of CPVR should have the same rights and remedies granted to other IP holders under the EU enforcement directive. To this end, the relation between the Basic Regulation and the EU enforcement directive should be clarified.
- **Essentially Derived Varieties - EDVs (Article 13(6), Basic Regulation).** The definition of EDVs under Article 13(6), especially as regards the concepts of "*predominantly derived*" under Article 13(6)(a) and "*conforms essentially to the initial variety in the expression of the characteristics*" under Article 13(6)(c), should be updated taking into account the guidance provided by the Explanatory Notes on Essentially Derived Varieties under the 1991 Act of the UPOV Convention, adopted by the Council at its fifty-seventh ordinary session on 27 October 2023 and further guidance should be provided on how to establish in practice if a variety is an EDV.
- **Variety Denominations (Article 17, Basic Regulation).** Under the terms of Article 17, the obligations relating to the use of the variety denominations contained in paragraphs 1 and 2 "*shall apply even after the termination of the Community plant variety right*". However, it is unclear who is entitled to enforce the related rights after the PVR expiry, and by which means. Provided that variety denominations can be considered a settling right, it would be appropriate to include a provision clarifying who is entitled to exercise rights in relation to the compliant use of the variety denomination after the PVR expiry.
- **Provisional protection (Article 95, Basic Regulation).** Article 95 provides that "*Prior to the grant of Community plant variety rights, the holder may require reasonable compensation from any person who has, in the time between publication of the application for a Community plant variety right and grant thereof, effected an act that he would be prohibited from performing subsequent thereto*". However, the concept of reasonable compensation is extremely vague and lends itself to different interpretations at the national level in the case of enforcement. For provisional protection to be effective, it would be advisable to delineate the concept of "*reasonable compensation*" in its conceivable amount so as to provide reliable reference elements for (prospective) rights holders to prevent acts potentially adversely affecting their PVRs, where subsequently granted.
- **No definition of "*propagating material*", "*harvested material*" and "*products obtained directly from the material of the protected variety*" (Article 13(4)).** The term "*variety constituents*" is used instead of "*propagating material*" in Articles 5, 10, 13, 16, 17, and 116. Also, Article 5(3) provides for the definition of "variety" in the following terms: "*A plant grouping consists of entire plants or parts of plants as far as such parts are capable of producing entire plants, both referred to hereinafter as 'variety constituents'*". A harmonization of terminology with the UPOV Convention might be advisable as well as the inclusion of a specific article providing for basic definitions.